02 Values Audit

2.1 Company's Mission Statement?

NEXUS Compliance Technologies

Honest Mission: We build Travel Rule compliance infrastructure that reduces Coinbase's regulatory risk while making AML monitoring more efficient. Financial inclusion benefits are secondary.

Founded: January 2025 | Stage: Series A ($8–12M typical for RegTech) | Team: ~30 people

Company Reality:

- We're venture-backed; we need 3–5x returns
- Revenue depends entirely on enterprise customer demand (Coinbase, Gemini, Kraken)
- We have perverse incentive: regulatory fragmentation makes our tool more valuable
- If jurisdictions harmonized, our TAM shrinks

2.2 Whose perspective does your tool serve?

The paying customer (CCO), constrained by regulators.

Stakeholder	Wants	Reality
CCO	Lower compliance costs, avoid fines	Wants our tool to scale transactions faster
MAS	Evidence of compliance effort	Cares more about documented procedures than actual crime prevention
Consumer	Fast transactions, no blocks	Most likely to suffer from our false positives
FinCEN	Transaction velocity for USDC	Indirectly funds our business through regulatory pressure

2.2 Whose perspective does your tool serve? (Cont’)

The Conflict: MAS wants caution; FinCEN wants speed. We can't satisfy both. We choose the paying customer (CCO) and implement MAS-stricter logic because that protects Coinbase from the greater regulatory risk.

Evidence of This Conflict:

- Industry standard AML false positive rate: 85–95%
- We claim <15% but only tested on historical data (biased test set)
- If we reduced false positives too much, CCOs might use our tool to justify less caution
- Result: We're actually useful for scaling surveillance, not just reducing false positives

2.3 Is your tool measuring genuine risk or documenting compliance?

We do 60% genuine risk measurement, 40% compliance theater.

What We Built (Genuine Risk):

- Behavioral risk scoring: Analyzes transaction patterns instead of pure geographic flags
- Real benefit: Reduces false positives for legitimate users in high-risk jurisdictions

What We Didn't Build (Would Reveal Problems):

- Bias audit dashboards (would show our model disadvantages Nigerian users)
- User transparency interfaces (would reveal why users are flagged)

What We Do Build (Compliance Documentation):

- Detailed audit trails showing "we tried"
- Regulatory reporting features
- Alert generation metrics (so MAS sees we're actively monitoring)

The Honest Design Choice: We optimized for what CCOs and regulators want (audit trails + evidence of effort), not what actually prevents money laundering (behavioral analysis + user fairness).

2.4 Who bears the cost if your tool gets it wrong?

False Positives: Consumer Bears 100% of Cost

Scenario: Legitimate user from Nigeria flagged as high-risk; account frozen for 5–10 days

- Cost to user: USD 500–2,000 (lost opportunity, stress)
- Cost to Coinbase: <USD 100 (customer service)
- Cost to NEXUS: $0 (we're not contractually liable)

Result: User excluded; platform scales faster (less friction on compliant transactions)

False Negatives: Institution Bears 90% of Cost

Scenario: Money laundering ring misses detection; law enforcement discovers; MAS audits

- Cost to Coinbase: USD 10–50M (fines + restrictions)
- Cost to NEXUS: Contract termination + reputational damage
- Cost to society: Crime proceeds continue funding illegal activity

2.4 Who bears the cost if your tool gets it wrong? (Cont')

Systematic Bias: Marginalized Users Bear Long-Term Cost

Our behavioral model, trained on 2024–2025 data, has inherent bias: most training data comes from US/EU transactions (well-documented, low-crime). Africa/South Asia represent ~10% of training data. Result: our "unbiased" model systematically flags high-risk jurisdiction users at higher rates.

This is algorithmic redlining: same transaction patterns, different risk scores based on geography.

Why we don't fix it: Fixing bias requires bias audits, which would expose the problem and hurt our sales credibility.